

The Farm Is Not for Sale.

Why Canada's Housing Crisis Is a Leverage Problem in Disguise

Something Is Breaking on the Farm

Picture a farmer. He has worked the land his whole life. He saves, he sacrifices, and eventually he buys his own property. He is proud. He is safe. Or so he thinks.

Now imagine that farmer takes out a giant loan against every acre he owns — the barn, the house, the fields — and bets it all on one single crop. One crop. One season. One outcome.

That is not farming. That is gambling.

Right now, millions of Canadians are in a version of that farmer's shoes. They were told real estate was the safest investment they could make. They were told everyone does it. They were told you can't go wrong with property.

They were told wrong.

Canada's housing market is not having a rough patch. It is in a full crisis. And the cracks are spreading faster than most people realize.

The Storm That Was Always Coming

Think about what happened over the past five years. Interest rates were at historic lows. Borrowing felt free. Canadians rushed to buy homes, condos, and investment properties. Prices shot up. Everyone felt rich.

But those low rates had an expiry date.

Now those pandemic-era mortgages are renewing. At much higher rates. Roughly 12% of all Canadian mortgages renewing in the next 12 months are facing payment increases of about 15%. The cost of carrying that same home just jumped — and the home itself is worth less than it was when they bought it.

It's like that farmer who planted in a drought year. He can't sell the crop. He can't walk away from the fields. And every month he stays, he goes a little deeper into debt.

The numbers are jarring. In Q1 2026, 37,121 Canadians filed for consumer insolvency — the highest quarterly number since 2009. That is roughly 17 Canadians every single hour,

around the clock, filing for insolvency. Canada is technically in recession, with two consecutive quarters of GDP contraction.

Mortgage delinquency rates have climbed 32% nationally — 52% in Ontario alone. The average overdue mortgage balance? \$355,500. Total Canadian consumer debt has reached \$2.66 trillion.

Data and figures are for illustration purposes only.

The Hidden Harvest: What Real Estate Actually Is

Here is where the farming analogy gets important. Not every crop is what it appears to be at first glance.

Canadians were sold real estate as a simple, safe investment. But look more closely at what it actually is.

You buy a \$700,000 condo. You put 20% down — \$140,000 of your own money. The bank lends you the rest. That means you are borrowing \$560,000 to control a \$700,000 asset. That is 5-to-1 leverage.

If a financial advisor suggested you borrow 5-to-1 to invest in a stock portfolio, they would lose their licence. But in real estate, everyone calls it normal.

The difference is not the risk level. The difference is the statement that shows up in your mailbox.

With stocks, you see the number every single day. With real estate, the loss hides behind brick and drywall. You don't see it — until you have to sell, refinance, or renew.

In Toronto's condo market, that moment of truth has arrived. Condo sales fell 75% since 2022. A pre-construction condo bought in 2022 for \$1 million is now worth roughly \$700,000. The average GTA condo lost more than \$37,000 in value in 2025 alone.

Nearly 77% of Toronto investors with new condo mortgages were already losing money before prices fell — bleeding an average of \$597 every single month in negative cash flow, according to a CIBC and Urbanation study. There are over 13,000 investor-owned condos listed for sale in the GTA right now, and nearly 19,000 completed and unsold homes nationally — the highest inventory since 1991.

Real estate is illiquid. You cannot sell 10% of your house to cover a bad month. You cannot press a button and exit on a Tuesday afternoon. You are locked in.

Real estate is undiversified. Your entire bet sits in one property, in one city, in one sector. That is a concentrated position by any definition.

The crop looked good from the road. But the roots were shallow all along.

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The Status Quo Said It Was Safe

Here is the dangerous part. Nobody who bought an overpriced condo thought they were taking a big risk. They were doing what everyone told them to do.

"Real estate always goes up." That is the Status Quo talking. That is complacency dressed up as wisdom.

The government itself is now scrambling. The federal and BC provincial governments recently announced they will purchase over 2,200 vacant condos — part of a \$3.2 billion plan — to convert them into affordable housing.

Prime Minister Carney described the market as "frozen." His words are striking — because back in 2011, as Bank of Canada Governor, Carney himself warned that Vancouver housing had "characteristics of financial asset markets, where expectations can dominate underlying forces of supply and demand." He warned of "greed and fear among speculators, investors, and households."

He saw it coming 15 years ago. So did anyone who was paying attention to the fundamentals instead of the crowd.

The Red Barn way is not about avoiding real estate. It is about understanding what you are actually buying — and what it costs you in risk.

A Fiduciary asks different questions. Not "will prices go up?" but "what happens if they don't?" Not "can I afford the payment today?" but "what happens at renewal if rates stay high?" Not "is everyone doing this?" but "does this actually serve my goals?"

The farmer who protects his land does not plant every acre in one crop. He rotates. He diversifies. He builds soil that can handle a dry year. He prepares for seasons that do not cooperate.

Your financial plan should do the same. A well-built Clarity Plan looks at your full picture — your real estate exposure, your liquid assets, your debt load, your income, your timeline. It stress-tests your plan against bad seasons, not just good ones.

Diversification is not just a word we use. It is the fence that keeps your financial future from depending entirely on one market, in one city, in one decade.

Your Next Step: A Clarity Plan

If you own real estate in Canada right now, you deserve an honest conversation about where you actually stand.

Not a sales pitch. Not a guess. A real look at your numbers.

At Red Barn Investment Counsel, we build Clarity Plans designed to cut through the noise and show you the full picture. We ask the hard questions so the market never catches you off guard.

The best farmers plan for drought before the drought arrives. The best financial plans do the same.

Book your Clarity Plan meeting today. Protect your harvest.

Past performance is not an indicator of future performance.

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This article is for informational and educational purposes only. It does not constitute financial, investment, or legal advice. Always consult a qualified fiduciary advisor before making financial decisions.

Sources

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